

MASASI COMPANY

Accounting Cycle Worksheets & Adjustments

For the Month Ended June 30, 2010

(A) ADJUSTING ENTRIES

The following adjusting journal entries have been recorded on page **J3** of the General Journal as of June 30, 2010.

Date	Account Titles and Explanation	Ref.	Debit (\$)	Credit (\$)
2010 June 30	Supplies Expense	631	1,400	
	Supplies	126		1,400
	(To record supplies used: \$2,000 - \$600)			
June 30	Utilities Expense	732	150	
	Utilities Payable	244		150
	(To record accrued utility bill unrecorded at month-end)			
June 30	Insurance Expense	722	250	
	Prepaid Insurance	130		250
	(To record one month of expired insurance: \$3,000 / 12)			
June 30	Unearned Service Revenue	209	2,500	
	Service Revenue	400		2,500
	(To record service revenue earned from unearned balances)			
June 30	Salaries Expense	726	2,000	
	Salaries Payable	212		2,000
	(To record accrued salaries at June 30)			
June 30	Depreciation Expense	711	250	
	Accumulated Depreciation—Office Equipment	158		250
	(To record monthly depreciation: \$15,000 / 5 years / 12 months)			
June 30	Accounts Receivable	112	1,000	
	Service Revenue	400		1,000
	(To record unbilled and unrecorded revenue for services performed)			

(B) GENERAL LEDGER ACCOUNTS

The general ledger accounts below reflect the opening balances from the trial balance (marked with a checkmark ✓) and the postings from the adjusting journal entries (page **J3**).

ASSETS

CASH (NO. 101)					
Date	Explanation	Ref.	Debit (\$)	Credit (\$)	Balance (\$)
June 30	Beginning Balance	✓	7,150		7,150

ACCOUNTS RECEIVABLE (NO. 112)					
Date	Explanation	Ref.	Debit (\$)	Credit (\$)	Balance (\$)
June 30	Beginning Balance	✓	6,000		6,000
June 30	Adjusting Entry	J3	1,000		7,000

SUPPLIES (NO. 126)					
Date	Explanation	Ref.	Debit (\$)	Credit (\$)	Balance (\$)
June 30	Beginning Balance	✓	2,000		2,000
June 30	Adjusting Entry	J3		1,400	600

PREPAID INSURANCE (NO. 130)					
Date	Explanation	Ref.	Debit (\$)	Credit (\$)	Balance (\$)
June 30	Beginning Balance	✓	3,000		3,000
June 30	Adjusting Entry	J3		250	2,750

OFFICE EQUIPMENT (NO. 157)					
Date	Explanation	Ref.	Debit (\$)	Credit (\$)	Balance (\$)
June 30	Beginning Balance	✓	15,000		15,000

ACCUMULATED DEPRECIATION—OFFICE EQUIPMENT (NO. 158)					
Date	Explanation	Ref.	Debit (\$)	Credit (\$)	Balance (\$)
June 30	Adjusting Entry	J3		250	250 (Cr)

LIABILITIES

ACCOUNTS PAYABLE (NO. 201)					
Date	Explanation	Ref.	Debit (\$)	Credit (\$)	Balance (\$)
June 30	Beginning Balance	✓		4,500	4,500 (Cr)

UNEARNED SERVICE REVENUE (NO. 209)					
Date	Explanation	Ref.	Debit (\$)	Credit (\$)	Balance (\$)
June 30	Beginning Balance	✓		4,000	4,000 (Cr)
June 30	Adjusting Entry	J3	2,500		1,500 (Cr)

SALARIES PAYABLE (NO. 212)					
Date	Explanation	Ref.	Debit (\$)	Credit (\$)	Balance (\$)
June 30	Adjusting Entry	J3		2,000	2,000 (Cr)

UTILITIES PAYABLE (NO. 244)					
Date	Explanation	Ref.	Debit (\$)	Credit (\$)	Balance (\$)
June 30	Adjusting Entry	J3		150	150 (Cr)

OWNER'S EQUITY

T. MASASI, CAPITAL (NO. 301)					
Date	Explanation	Ref.	Debit (\$)	Credit (\$)	Balance (\$)
June 30	Beginning Balance	✓		21,750	21,750 (Cr)

REVENUES

SERVICE REVENUE (NO. 400)					
Date	Explanation	Ref.	Debit (\$)	Credit (\$)	Balance (\$)
June 30	Beginning Balance	✓		7,900	7,900 (Cr)
June 30	Adjusting Entry	J3		2,500	10,400 (Cr)
June 30	Adjusting Entry	J3		1,000	11,400 (Cr)

EXPENSES

SUPPLIES EXPENSE (NO. 631)					
Date	Explanation	Ref.	Debit (\$)	Credit (\$)	Balance (\$)
June 30	Adjusting Entry	J3	1,400		1,400

DEPRECIATION EXPENSE (NO. 711)					
Date	Explanation	Ref.	Debit (\$)	Credit (\$)	Balance (\$)
June 30	Adjusting Entry	J3	250		250

INSURANCE EXPENSE (NO. 722)					
Date	Explanation	Ref.	Debit (\$)	Credit (\$)	Balance (\$)
June 30	Adjusting Entry	J3	250		250

SALARIES EXPENSE (NO. 726)					
Date	Explanation	Ref.	Debit (\$)	Credit (\$)	Balance (\$)
June 30	Beginning Balance	✓	4,000		4,000
June 30	Adjusting Entry	J3	2,000		6,000

RENT EXPENSE (NO. 729)					
Date	Explanation	Ref.	Debit (\$)	Credit (\$)	Balance (\$)
June 30	Beginning Balance	✓	1,000		1,000

UTILITIES EXPENSE (NO. 732)					
Date	Explanation	Ref.	Debit (\$)	Credit (\$)	Balance (\$)
June 30	Adjusting Entry	J3	150		150

(C) ADJUSTED TRIAL BALANCE

A verification statement matching adjusted debit and credit totals to ensure ledger equality at June 30, 2010.

MASASI COMPANY ADJUSTED TRIAL BALANCE June 30, 2010			
Account No.	Account Title	Debit (\$)	Credit (\$)
101	Cash	7,150	
112	Accounts Receivable	7,000	
126	Supplies	600	
130	Prepaid Insurance	2,750	
157	Office Equipment	15,000	
158	Accumulated Depreciation—Office Equipment		250
201	Accounts Payable		4,500
209	Unearned Service Revenue		1,500
212	Salaries Payable		2,000
244	Utilities Payable		150
301	T. Masasi, Capital		21,750
400	Service Revenue		11,400
631	Supplies Expense	1,400	
711	Depreciation Expense	250	
722	Insurance Expense	250	
726	Salaries Expense	6,000	

MASASI COMPANY
ADJUSTED TRIAL BALANCE
June 30, 2010

Account No.	Account Title	Debit (\$)	Credit (\$)
729	Rent Expense	1,000	
732	Utilities Expense	150	
	Totals	41,550	41,550